

formation of an opinion based on someone else's perception and analysis, rather than your own.

Instead, I start with the company's annual letters, annual reports, 10Ks and 10Qs, and other SEC filings, as well as trade magazine articles and press releases for the last 10 years. Has the company underpromised and overdelivered or vice versa? Then I work my way to earnings calls, again painting a picture of whether the company does what they say they are going to do. Once I have this picture based on facts instead of a story, then like an investigative reporter, I start to develop a picture of reality. But questions remain to be answered, and it's time to do channel checks.

Assessing Moats

How does one go about actually assessing the depth and breadth of a business moat? Precisely what is a company's competitive advantage, and how unassailable is it? Certainly, a long track record of high returns on invested capital seems like a quick and easy way to determine this. But the graveyards of capitalism are littered with companies that did, in fact, earn high ROICs for prolonged periods of time only to ultimately succumb to competition, either directly from a more astute rival or from a changing economic landscape. An investor must get down in the weeds and conduct scuttlebutt research to ascertain whether moats around a business are strong or porous.

Channel Checks

Channel checks are the proverbial equivalent of gumshoe research. They entail speaking to customers, suppliers, and former employees. I always ask myself, if I were considering putting 100% of my net worth in this business, what would I want to know? Has management been laying the groundwork for the future or borrowing from it? What kind of pricing power does the business have, and has the company taken